

Financial Analysis Report

Based on the provided context, specific data for Q1 (the quarter ended June 30, 2025) is not explicitly stated. However, Q1 figures can be derived by subtracting the reported Q2 (quarter ended September 30, 2025) results from the H1 (six months ended September 30, 2025) results.

Here is a financial analysis for Q1, derived from the "Press Release" document:

****Derived Q1 Financial Performance (Quarter ended June 30, 2025)****

*** **Reported Revenues:****

* Q1 revenues are estimated at ****\$4,942 million****.

* This is derived from H1 reported revenues of \$10,018 million minus Q2 reported revenues of \$5,076 million.

* ****Trend:**** While specific Q1 YoY growth isn't provided, H1 reported revenue growth was 4.3% YoY, and Q2 growth was 3.7% YoY. This implies Q1 likely experienced a stronger YoY growth rate than Q2 to average out to 4.3% for H1.

*** **Operating Margin:****

* Q1 operating margin is estimated at ****20.8%****.

* This is derived from H1 operating income (\$10,018M * 20.9% = \$2,093.76M) minus Q2 operating income (\$5,076M * 21.0% = \$1,066.06M), resulting in Q1 operating income of \$1,027.70M. Divided by Q1 estimated revenues (\$4,942M), this yields 20.8%.

* ****Comparison:**** The estimated Q1 operating margin of 20.8% is slightly lower than Q2's 21.0% and the H1 average of 20.9%.

*** **Basic EPS:****

* Q1 Basic EPS is estimated at ****\$0.20****.

* This is derived from H1 Basic EPS of \$0.40 minus Q2 Basic EPS of \$0.20.

* ****Trend:**** Similar to revenues, H1 Basic EPS growth was 6.9% YoY, while Q2 was 7.9% YoY. This suggests Q1's YoY EPS growth was lower than Q2's, or potentially flat, to result in the H1 average.

*** **Free Cash Flow (FCF):****

* Q1 FCF is estimated at ****\$884 million****.

* This is derived from H1 FCF of \$1,985 million minus Q2 FCF of \$1,101 million.

* ****Trend:**** H1 FCF growth was 2.7% YoY, significantly lower than Q2's robust 31.2% YoY growth. This indicates Q1 FCF likely experienced a decline or very low growth compared to the prior year.

*** **FCF Conversion:****

* Q1 FCF conversion is estimated at ****109.3% of net profit****.

* This is derived from Q1 estimated FCF (\$884M) divided by Q1 estimated net profit (\$808.86M, which is H1 net profit minus Q2 net profit, based on FCF conversion rates).

* ****Comparison:**** The estimated Q1 FCF conversion of 109.3% is notably lower than Q2's strong 131.1% and the H1 average of 120.4%. This suggests lower efficiency in converting net profit to cash in Q1 compared to Q2.

****Overall Analysis (Derived Q1):****

Based on derived figures, Q1 appears to have contributed significantly to H1 revenues and EPS. However, Q1's operating margin, FCF, and FCF conversion seem to have been less robust than Q2, with Q2 showing stronger performance in FCF generation and conversion, and contributing to the H1

average. The higher H1 revenue growth compared to Q2 suggests a strong start to the fiscal year in Q1, particularly in reported revenues.

****Source:**** Infosys Limited – Press Release, within the provided context.

Sources:

- infosys-ar-25.pdf
- ifrs-usd-press-release_q3.pdf
- ifrs-usd-press-release_q2.pdf